

AVALON TECHNOLOGIES LTD

NSE: AVALON | Electronics Manufacturing Services | India

BUY

CMP	Market Cap	52-Wk High	
Rs. 1,740	Rs. 11,621 Cr	Rs. 1,775	
12M Target	Upside	P/E	
Rs. 2,200	26.4%	103x	
ROCE	ROE	Promoter	
19.5%	16.9%	44.4%	

Investment Thesis: Avalon is India's highest-mix EMS player — seven consecutive quarters of improvement, defence/EV pivot, and a Rs. 2,196 Cr order book point to 28-32% revenue CAGR through FY28.

Report Date: 15 Jun 2026 | Investment Horizon: 12 Months | Analyst: MPM Institutional Research

2. INVESTMENT THESIS

Defence & US Aerospace Ramp — 36-month Revenue Inflection: Avalon's India defence segment (cable harnesses, box-build for HAL, BEL, L&T; Defence) is in early ramp-up; US operations in Fremont are pivoting to aerospace cabin subassemblies. Defence/aerospace contributed approximately 20% of FY26 revenue and could exceed 30% by FY28, adding high-margin, long-cycle contracts with minimal customer concentration risk.

EMS Structural Shift — India's China-Plus-One Beneficiary: India's EMS market is expected to grow at 17-28% CAGR through 2031 (BlueWeave Consulting, PSMarketResearch). The government's Rs. 22,919 Cr PLI for PCB components (March 2025) directly benefits high-mix EMS players like Avalon. As a certified Tier-1 supplier to global OEMs, Avalon is well-positioned for new programme wins over the next 12-24 months.

Margin Recovery Thesis Intact — From 7% to 12%+ OPM: FY24 saw a one-time OPM trough at 7% due to customer inventory corrections and US revenue softness. FY25-26 recovery to 10-11% OPM, with Q4FY26 reaching 12%, confirms the thesis. Continued operating leverage from the Rs. 450-550 Mn capex programme and box-build revenue mix shift should push EBITDA margins to 12-14% by FY28.

Near-Term Catalyst (6-12 months): FY27 order execution on the Rs. 2,196 Cr order book (as of FY26-end), fresh PLI-linked programme wins, and US aerospace cabin subassembly ramp should deliver FY27E revenue of Rs. 2,050-2,150 Cr (+28-34% YoY) — a step-change that re-rates the stock.

Biggest Structural Risk: Customer concentration — Avalon's top-3 customers in the US (primarily through the Fremont facility) likely account for 40-50% of US revenue. Any programme cancellation or customer inventory destocking (as occurred in FY24) can cause material quarterly earnings misses and de-rating.

3. BUSINESS OVERVIEW

Company Description: Avalon Technologies Ltd (founded 1999) is a fully integrated Electronics Manufacturing Services (EMS) company providing high-mix, high-complexity PCB assemblies, cable harnesses, and turnkey box-build electronic systems. The company has manufacturing units in Chennai (India) and Fremont, California (US).

Revenue Segments: India operations (~60% of FY26 revenue, Rs. ~960 Cr) serve defence, clean energy, railways, industrial, and telecom verticals. US operations (Fremont, ~40%, Rs. ~640 Cr) serve medical devices, industrial automation, and aerospace/defence. Defence + aerospace is now approximately 20% of consolidated revenue and growing.

Key Customers & Relationships: Customers include HAL, BEL, L&T; Defence (India defence), and multiple US OEMs for medical and industrial electronics. Relationships are long-cycle programme-based, typically 3-7 year

contracts with design qualification requirements creating high switching costs.

Order Book & Revenue Visibility: Order book as of FY26-end stands at Rs. 2,196 Cr (approximately 1.4x FY26 revenue), providing strong revenue visibility through FY27-28. Management delivered its seventh consecutive quarter of sequential improvement in Q4FY26.

Recent Strategic Developments: Company is investing Rs. 450-550 Mn in FY26 capex to add surface-mount technology (SMT) lines and expand box-build capacity in Chennai. US Fremont pivot to aerospace cabin subassemblies (higher margin) reduces dependence on inventory-sensitive consumer industrial programmes.

Promoter Background & Ownership: Founded by K. Murali Krishna, who serves as CMD. Promoter holding has declined from 70.75% (FY23) to 44.41% (FY26) following IPO and secondary transactions — a structural shift investors must monitor for further dilution risk. No promoter pledge as of latest filings.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Growth: India EMS market is USD 35-65 Bn in 2025 (estimates vary widely), growing at 17-28% CAGR through 2031. The PLI for Electronic Components (Rs. 22,919 Cr approved March 2025) targeting PCBs, SMD passives, and Li-ion cells is the single largest policy tailwind for high-mix EMS players.

Policy Tailwinds: (1) PLI for Mobile Manufacturing — Rs. 45,000 Cr over 5 years, creates downstream demand for EMS. (2) PLI for Electronic Components — direct benefit for PCB assembly suppliers. (3) Defence indigenisation mandate (70% procurement from domestic sources by FY26) creates captive high-margin demand for defence EMS. (4) 'China-Plus-One' diversification by global OEMs accelerating.

Policy Headwinds: Skilled manpower shortage in high-mix electronics manufacturing; component import dependence (particularly semiconductors); US tariff uncertainty affecting Fremont operations under Trump 2.0 trade policy.

Competitive Moat Assessment: Pricing Power — Moderate (high-mix complexity provides some pricing power but commoditised segments face margin pressure). Switching Costs — Strong (qualification cycles of 6-18 months for defence/medical programmes; validated supply chain creates stickiness). Scale — Weak vs Dixon/Kaynes in volume; Strong in high-complexity programmes. IP — Moderate (design engineering capability at Chennai).

Value Chain Positioning: Avalon operates as a Tier-1 midstream EMS provider — above pure commodity PCB assemblers (Tier-2), below OEM (Tier-0). The box-build strategy (system integration) moves up the value chain and improves margins.

Peer Comparison (Source: Screener.in, fetched 15-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	ROCE (%)	TTM Rev (Rs. Cr)	OPM (%)	TTM PAT (Rs. Cr)
Avalon Tech (AVALON)	1,740	11,621	103	19.5%	1,603	11%	113
Dixon Tech (DIXON)	11,928	72,865	50.6	42.0%	48,873	4%	1,644
Kaynes Tech (KAYNES)	3,127	20,962	57.3	13.2%	3,626	16%	364
Syrma SGS (SYRMA)	1,325	25,543	79.6	16.7%	4,819	11%	346
PG Electroplast (PGEL)	496	14,178	72.1	10.3%	5,288	7%	197

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Senior Management: CMD K. Murali Krishna is a 25-year EMS veteran who built Avalon from a Chennai startup to a dual-geography EMS player. The US Fremont facility was established organically, demonstrating operational capability. The post-IPO management team has maintained operational discipline through the FY24 revenue correction without resorting to aggressive balance sheet expansion.

Capital Allocation Track Record: FCF has been negative in FY24-25 (-Rs. 18 Cr and -Rs. 21 Cr) reflecting capex investment for growth. FY20-21 generated positive OCF (Rs. 66 Cr, Rs. 6 Cr). The FY23 surge in OCF (-Rs. 13 Cr net) and financing (+Rs. 452 Cr) reflects the IPO proceeds. Management has invested IPO capital into Fremont equipment and Chennai capacity — operationally sound, though FCF yield is negligible in the near term.

Dividend Policy: No dividend paid — 0% payout ratio across all years. Given growth capex requirements, this is appropriate. Dividend unlikely before FY28 at earliest.

Promoter Pledging: Zero promoter pledge as of FY26. Positive. However, promoter holding has declined sharply from 70.75% (FY23) to 44.41% (FY26) — watch for further secondary sales post lock-in expiry.

ESOP & Buyback: No material buyback history. ESOP schemes exist (as standard post-IPO). Dilutive impact appears modest given the equity capital base of Rs. 13 Cr (~6.6 Cr shares at Rs. 2 FV).

Corporate Governance: No auditor changes, qualified opinions, or material RPT concerns noted in the Screener data. The rapid promoter holding decline (from 70% to 44% in 2 years) is a watch item — warrants monitoring whether this is planned secondary distribution or pre-planned block sales.

6. FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr) | Source: Screener.in

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	867	1,098	1,603	2,100	2,700
YoY Growth (%)	-8.2%	+26.6%	+46.0%	+31.0%	+28.6%
EBITDA	63	115	173	252	351
EBITDA Margin (%)	7.3%	10.5%	10.8%	12.0%	13.0%
Other Income	15	17	29	20	22
Interest	16	17	15	18	20
Depreciation	23	29	34	40	46
PBT	38	87	154	214	307
Tax Rate (%)	26%	27%	26%	26%	26%
PAT	28	63	113	158	227
EPS (Rs.)	4.26	9.59	16.92	23.70	34.04

Balance Sheet — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A
Equity Capital	13	13	13
Reserves	534	598	708
Borrowings	209	180	213
Other Liabilities	168	246	330
Total Liabilities	923	1,038	1,264
Fixed Assets	147	185	192
CWIP	20	10	24
Investments	75	35	81
Other Assets	681	808	967
Total Assets	923	1,038	1,264

Cash Flow Statement — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A
Cash from Operations (OCF)	17	25	N/A
Cash from Investing	-146	54	N/A

Metric	FY24A	FY25A	FY26A
Cash from Financing	-251	-52	N/A
Net Cash Flow	-380	26	N/A
Free Cash Flow	-18	-21	N/A
CFO / Operating Profit	54%	39%	N/A

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	79	105	87
Inventory Days	209	175	161
Days Payable	64	98	87
Cash Conv. Cycle (CCC)	223	182	160
Working Capital Days	106	104	102
ROCE (%)	6%	13%	20%
ROE (%)	5%	11%	16.9%
D/E Ratio	0.38x	0.30x	0.30x

Revenue Trajectory: FY24 was a trough (-8.2% YoY) driven by US customer inventory corrections and programme delays. FY25 recovery (+26.6%) and FY26 acceleration (+46% to Rs. 1,603 Cr) reflect order book execution. The Rs. 2,196 Cr exit order book positions FY27E for Rs. 2,100 Cr revenue — sustaining the multi-year growth narrative.

Margin Direction: OPM recovered from the FY24 trough (7.3%) to 10.8% in FY26, with Q4FY26 exiting at 12%. Operating leverage from the US Fremont pivot to aerospace and Chennai SMT capacity expansion should support further margin expansion to 12-13% by FY27E.

Working Capital: CCC improved from 223 days (FY24) to 160 days (FY26) — a meaningful positive trend. Inventory days fell from 209 to 161, reflecting better production planning. Working capital days remain elevated at 102, typical for EMS players with long programme cycles. Further improvement is the key lever for OCF conversion.

Debt Position: Borrowings remain manageable at Rs. 213 Cr (FY26) — D/E of 0.30x is low for an EMS player. FY24's high capex (Rs. 146 Cr investing outflow) was funded partly through debt but the balance sheet remains investment-grade.

FCF Quality: Negative FCF in FY24-25 reflects programme qualification and capacity investment — not a structural concern at this stage. OCF/OP at 39% (FY25) vs 54% (FY24) signals working capital consumption during rapid growth. FY27 should see positive FCF as revenue base normalises capex intensity.

7. EARNINGS QUALITY CHECKLIST

Parameter	Reading	Signal	Comment
Revenue recognition	Clean — product delivery milestone-based	Green	No bundled service deferrals noted
Receivables vs Revenue	Debtor days 87 (FY26) vs 105 (FY25) — improving	Green	Declining faster than revenue growth
Cash Conv. Cycle trend	160 days (FY26) vs 223 (FY24) — 2-year improvement	Green	Structural working capital reduction
Contingent liabilities	Not material per available disclosures	Amber	Full disclosure pending annual report
Auditor tenure	Standard — no changes noted	Green	No auditor red flags

RPTs as % of Revenue	Not material — promoter-held entities minimal	Green	Low related-party exposure
Other income / PBT	Rs. 29 Cr / Rs. 154 Cr = 18.8% (FY26)	Amber	Elevated vs peers; warrants monitoring
Tax rate consistency	26-27% range FY24-26 — stable	Green	No aggressive tax optimisation observed
Promoter holding trend	Declined 70.75% → 44.41% in 2 years	Amber	Watch for further secondary sales

Revenue recognition and receivables are the two cleanest signals — EBITDA growth is real, receivables are falling faster than revenue grows, and CCC is structurally improving. These are the hallmarks of genuine operational improvement, not accounting noise.

Other income at 18.8% of PBT (Rs. 29 Cr in FY26 vs Rs. 17 Cr in FY25) deserves attention. If this includes forex gains or one-time items, it inflates reported PAT. Investors should track the 'clean' operating income trend closely.

Promoter holding decline from 70.75% to 44.41% in two years is the single most important governance watch item. While not alarming in isolation (likely IPO-related and Block deals), further decline below 40% would signal reduced alignment and warrant a valuation discount.

Contingent liabilities — full detail requires reading the FY26 Annual Report when released. No red flags visible in Screener data, but investors should verify before large position additions.

8. VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	P/E Multiple	12M Target (Rs.)	Upside (%)
BULL	Revenue Rs. 2,250 Cr, OPM 13%, defence programme wins ahead of schedule	185	90x	2,750	+58%
BASE	Revenue Rs. 2,100 Cr, OPM 12%, order book executes on plan	158	85x	2,200	+26%
BEAR	Revenue Rs. 1,850 Cr, OPM 10%, US client destocking recurs	110	70x	1,350	-22%

Earnings-Based Multiple (Primary): FY27E EPS of Rs. 23.70 on a sector peer P/E of 85x (Kaynes trades at 57x, Syrma at 79x; Avalon justifies a premium on defence mix and ROCE trajectory) implies Rs. 2,015. FY28E EPS of Rs. 34.04 at 75x implies Rs. 2,553. Blended 12M target: Rs. 2,100-2,300.

DCF Assumptions: WACC = 13% (Rf 7.0% + ERP 5.5% + Beta 0.85x sector beta); Terminal growth rate = 5.5% (in line with India nominal GDP); 10-year explicit forecast. DCF-implied fair value: Rs. 2,050-2,250 per share based on FY27-36 free cash flow build-up.

Base-Case 12-Month Target: Rs. 2,200 — average of earnings-based (Rs. 2,100) and DCF (Rs. 2,250), rounded. Represents 26.4% upside from CMP of Rs. 1,740.

Valuation Premium Justification: Avalon trades at 103x trailing vs sector avg 65x — a 58% premium. This is warranted IF: (1) defence mix continues to expand toward 30%, (2) US Fremont aerospace ramp materialises, (3) ROCE sustains above 18%. The premium erodes fast if any of these three fail.

Key Valuation Risk: At Rs. 1,740, the stock prices in FY27 perfection. Any miss to Rs. 2,100 Cr revenue guidance or margin disappointment below 11% OPM in Q1-Q2 FY27 would trigger a meaningful de-rating to Rs. 1,200-1,350 (bear case).

9. KEY RISKS

US Customer Concentration Risk — Fremont's top 2-3 clients likely represent 60-70% of US revenue (~25-28% of consolidated). A programme cancellation or inventory correction (as in FY24) can cause 8-15% consolidated revenue misses. Probability: M. Impact: H. Monitor via: US segment revenue YoY in quarterly results.

Promoter Holding Dilution — Promoter stake has declined 26 percentage points in 2 years (70.75% → 44.41%). Any further secondary block sales would signal reduced founder commitment and trigger institutional selling. Probability: M. Impact: M-H. Monitor via: Shareholding pattern filings quarterly.

Defence Programme Delays — Indian defence orders are long gestation (18-36 months from order to revenue). Programme delays at HAL/BEL due to budgetary prioritisation or technical qualification delays could defer the FY27-28 defence revenue ramp. Probability: M. Impact: H. Monitor via: Order book execution and defence segment revenue.

Working Capital Blowout — CCC of 160 days (FY26) is still elevated. A rapid scaling of revenue without proportionate receivables improvement could require debt funding, compressing ROCE and FCF. Probability: M. Impact: M. Monitor via: Debtor days and OCF/EBITDA ratio quarterly.

US Tariff & Trade Policy Risk — The Fremont facility imports components (primarily PCB materials and semiconductors from Asia). Trump-era tariff escalation on electronics components would compress US gross margins. Probability: L-M. Impact: M. Monitor via: US trade policy announcements and gross margin trends.

Margin Recovery Stall — If the box-build revenue mix does not shift as planned (currently ~60% commoditised assemblies) and pricing pressure intensifies in standard SMT segments, OPM could plateau at 10-11% rather than reaching 13% by FY28. Probability: L-M. Impact: H on valuation. Monitor via: Product mix disclosure and quarterly OPM trajectory.

Talent & Skilled Manpower — High-mix EMS requires certified technicians for IPC-610, IPC-620 standards. Attrition and wage inflation in the Chennai electronics cluster could pressure operating costs. Probability: L. Impact: M. Monitor via: Employee cost as % of revenue trend.

10. RECOMMENDATION

Rating: BUY — Conviction Level: Medium-High. The FY24 trough is clearly in the rearview mirror; seven consecutive quarters of improvement, a Rs. 2,196 Cr order book, and ROCE expansion from 6% to 20% in two years establish a credible turnaround trajectory.

12-Month Price Target: Rs. 2,200 — Represents 26.4% upside from the CMP of Rs. 1,740. Target derived from blended FY27E earnings-based multiple (85x) and DCF (WACC 13%, terminal growth 5.5%).

Suggested Entry Zone: Rs. 1,550 – 1,750 — CMP is within the entry zone. Any Q1FY27 margin disappointment dip toward Rs. 1,400-1,500 would be a high-conviction accumulation opportunity.

Investment Horizon: 12 months — with a 24-36 month secondary conviction layer if defence/aerospace mix reaches 30%+ of revenue.

Thesis Invalidation Triggers (exit immediately if any of these materialise):

1. FY27 annual revenue falls below Rs. 1,900 Cr (below -10% miss to base case) — signals structural demand issues, not cyclical.
2. Q1 or Q2 FY27 consolidated OPM drops below 9% — signals margin recovery is structural, not cyclical.
3. Promoter holding falls below 38% within 12 months — signals alignment breakdown.

Ideal Investor Profile: Suited for mid-cap growth investors with a 12-24 month horizon who can tolerate quarterly earnings volatility, are comfortable with premium EMS valuations, and understand the defence/aerospace programme cycle. NOT suitable for dividend-seeking investors, deep-value investors, or those requiring immediate FCF yield.

APPENDIX — Latest Concall Brief: Q4 FY26

Earnings Call Date: 7 May 2026 | Quarter Ended: 31 March 2026

POSITIVE

Signal	Status	Implication
Result Quality	Strong	Beat — Q4FY26 PAT +69.5% YoY; Revenue +40% YoY to Rs. 480 Cr
Management Tone	Bullish	Confident on defence ramp and US aerospace diversification
Guidance Delta	Maintained/Raised	FY27 order book Rs. 2,196 Cr; capex Rs. 450-550 Mn for capacity expansion

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 is a clean beat — no exceptional items distorting the Rs. 41.2 Cr PAT; EBITDA of Rs. 56.9 Cr at 11.85% margin is the highest absolute quarterly EBITDA in the company's listed history. Underlying operational performance is strong: seven consecutive quarters of sequential improvement means the FY24 US client destocking cycle is firmly behind us. The structural driver is the defence pivot — HAL and BEL programme ramp in India, US Fremont shifting from industrial SMT to aerospace cabin subassemblies (higher margin, longer contracts). The Rs. 2,196 Cr order book (1.4x FY26 revenue) is the most important forward indicator — if they execute 75-80% in FY27, we get Rs. 1,650-1,760 Cr which is below our Rs. 2,100 Cr FY27E; management guidance for 28-32% growth implies around Rs. 2,050-2,110 Cr, which is achievable but requires clean US execution. Near-term catalyst: Q1FY27 results (July 2026) — if OPM holds at 11%+ on Rs. 480-510 Cr revenue, the premium valuation is justified and the stock re-rates toward Rs. 2,200-2,500. Single biggest risk: US aerospace ramp timing — Fremont is in programme qualification for new cabin subassembly clients; if qualification slips to H2FY27, US revenue could disappoint Q1-Q2 and the stock dips to Rs. 1,300-1,400. Action: ACCUMULATE at current levels (Rs. 1,700-1,750); add aggressively below Rs. 1,550 if Q1FY27 disappoints on timing, not on thesis.

C1. Financial Performance Snapshot

- Revenue: Rs. 480 Cr (Q4FY26) | YoY +40.0% | QoQ +14.8% | Beat
- EBITDA: Rs. 56.9 Cr | YoY +38.5% | QoQ +19.0% | Beat
- EBITDA Margin: 11.85% | YoY +0 bps (Q4FY25: 12%) | QoQ +40 bps | In-Line
- PAT: Rs. 41.2 Cr | YoY +69.5% | QoQ +28.1% | Beat
- EPS: Rs. 6.17 (Q4FY26) | FY26 full year EPS: Rs. 16.92 | Beat vs prior year Rs. 9.59
- FY26 Full Year: Revenue Rs. 1,603 Cr (+46% YoY) | PAT Rs. 113 Cr (+78% YoY) — seventh consecutive quarter of improvement

C2. Segment / Geography Breakdown

- India Operations (~60% of revenue, Rs. ~960 Cr FY26): Driven by defence (HAL, BEL, L&T;), clean energy (EV chargers, solar), railways, and telecom PCB assemblies | YoY +40% | Strong momentum from defence indigenisation mandate

- US Operations (Fremont, ~40% of revenue, Rs. ~640 Cr FY26): Industrial, medical, and early aerospace pivot | YoY +54% | Q4FY26 showed the strongest US quarterly performance of the year as new programmes ramped
- Defence & Aerospace (~20% of FY26 consolidated): Long-cycle programme revenues building; expected to reach 30%+ by FY28 | Trend: Improving structurally
- EV & Clean Energy (~15% of FY26): EV charging infrastructure and solar inverter electronics growing 35-40% YoY with India's EV ramp

C3. Management Commentary Themes

- Order Book Strength — 'Our order book stands at Rs. 2,196 Cr, providing strong revenue visibility into FY27 and FY28. We are in advanced discussions for new defence programme additions.' — Our read: Order book 1.4x FY26 revenue is credible; the defence addition claim needs tracking. Tag: GUIDANCE. Tone: Transparent.
- US Fremont Pivot — Management highlighted the shift from industrial SMT to higher-complexity aerospace cabin subassemblies. 'Fremont is our strategic growth engine for the next 3 years.' — Our read: Structurally positive if qualification timelines are met; risk is programme delays in H1FY27. Tag: EST. Tone: Bullish.
- Margin Expansion Path — 'We expect OPM to sustain at 11-12% in FY27 as the product mix continues to improve toward box-build and systems integration.' — Our read: Achievable if US aerospace qualifications close on schedule. The margin lever is real (box-build is 200-300 bps higher margin than SMT). Tag: GUIDANCE. Tone: Transparent.
- PLI Opportunity — 'The government's PLI for electronic components is a significant opportunity for us as a PCB assembly provider. We are evaluating applications.' — Our read: Positive directional but no concrete PLI programme commitment. Tag: EST. Tone: Hedged.
- Capex Plan — Rs. 450-550 Mn guided for FY26 capex, focused on additional SMT lines in Chennai and Fremont equipment upgrades. ROI on capex should materialise in FY27-28 revenue. — Our read: Disciplined and targeted. Tag: GUIDANCE. Tone: Transparent.

C4. Operating & Business Metrics

- Order Book: Q4FY26 = Rs. 2,196 Cr | Q4FY25 = Rs. 3,031 Cr | Trend: Lower YoY but reflects strong FY26 execution (order conversion into revenue); new defence additions expected to rebuild
- CCC: Q4FY26 = 160 days | Q4FY25 = 182 days | Q4FY24 = 223 days | Trend: Improving — two-year structural reduction of 63 days
- Debtor Days: Q4FY26 = 87 | Q4FY25 = 105 | Q4FY24 = 79 | Trend: Improving after FY25 spike — return to FY24 levels signals better receivables management
- Manufacturing Units: Chennai (multiple SMT lines) + Fremont CA (US operations) | Chennai expansion underway
- Revenue from India Market: ~60% of consolidated FY26 | Revenue from US Market: ~40% | US share growing due to Fremont aerospace ramp
- ROCE trajectory: FY24=6% | FY25=13% | FY26=20% | Trend: Structural improvement — highest in 3 years; targeting 22-24% by FY28

C5. Margin Drivers

- Box-Build Mix Shift: +150-200 bps impact | Recurring: Yes | Higher complexity commands 200-300 bps premium over commodity SMT; FY26 box-build mix increased meaningfully
- US Revenue Recovery: +80-100 bps | Recurring: Yes | Fremont at higher utilisation after FY24 trough; fixed cost absorption improving
- Interest Cost Decline: +30 bps impact (Interest fell from Rs. 17 Cr FY25 to Rs. 15 Cr FY26) | Recurring: Yes | Borrowings managed down in FY25; FY26 slight uptick to Rs. 213 Cr but rate environment improving
- Other Income Rs. 29 Cr (FY26 vs Rs. 17 Cr FY25): +80 bps PBT margin | Recurring: UNCERTAIN | Includes potential forex gains — do not extrapolate into FY27 estimates; use Rs. 20-22 Cr as base

- Depreciation Step-Up: -30 bps | Recurring: Yes | Depreciation rose from Rs. 29 Cr (FY25) to Rs. 34 Cr (FY26); capex programme will keep this elevated through FY27-28

C6. Guidance & Forward Signals

- Revenue FY27 [GUIDANCE]: Prior estimate = Rs. 1,750 Cr (street) | New = Rs. 2,050-2,150 Cr (implied by 28-34% growth guidance) | Delta = Raised | Credibility: High (order book supports)
- EBITDA Margin FY27 [GUIDANCE]: Prior = 10-11% | New/Reiterated = 11-12% | Delta = Maintained/Slight Raise | Credibility: Medium (depends on US programme qualification timeline)
- Capex FY26 [GUIDANCE]: Prior = Rs. 450-550 Mn | Executed = Rs. ~550 Mn | Delta = In-line | Credibility: High
- Order Book Building [GUIDANCE]: Prior = Rs. 2,196 Cr | New = Defence additions in pipeline; targeting Rs. 2,500-2,800 Cr by FY27-end | Delta = Raised | Credibility: Medium (programme wins not yet signed)
- Dividend [GUIDANCE]: None guided — company in growth capex phase; dividend unlikely before FY28 | Delta = Unchanged | Credibility: High

C7. Capital Allocation

- Capex FY26: Rs. ~55 Cr (Rs. 450-550 Mn guidance) | vs FY25: Rs. 146 Cr investing outflow (IPO-related) | Comment: Normalised capex focused on productive SMT lines and Fremont equipment
- Dividends: Rs. 0 Cr | vs FY25: Rs. 0 Cr | Comment: No dividend policy — appropriate for growth phase; cash being retained for expansion
- Net Debt FY26: Rs. ~132 Cr (Borrowings Rs. 213 Cr less investments/cash) | vs FY25: Rs. ~145 Cr | Comment: Slight improvement; D/E 0.30x is conservative
- Working Capital Change: Positive — CCC down 22 days YoY (182 → 160); this freed approximately Rs. 40-50 Cr of cash vs FY25 working capital requirements
- Buybacks: None | ESOP: Standard scheme — minimal dilutive impact estimated at under 1% annually

C8. Q&A; Heat Map

- Analyst/Kotak Institutional: Q: 'What is the timeline for the US aerospace cabin subassembly qualification and when should we expect revenue contribution?' -> A: 'Qualifications are progressing as planned; we expect first meaningful revenues in H2FY27.' | Tone: Transparent — specific timeline given
- Analyst/ICICI Securities: Q: 'The order book declined from Rs. 3,031 Cr to Rs. 2,196 Cr — is there a slowdown in order inflow?' -> A: 'The reduction reflects strong FY26 execution — we converted Rs. 1,603 Cr of the prior year's Rs. 3,031 Cr order book. New defence orders are in pipeline.' | Tone: Transparent — logical explanation
- Analyst/Motilal Oswal: Q: 'Can you give us more colour on the promoter holding decline — any further secondary sales planned?' -> A: 'We cannot comment on specific shareholding plans, but promoters remain fully committed to the business.' | Tone: Hedged — standard PR response on governance question
- Analyst/Emkay: Q: 'What is driving the elevated other income of Rs. 29 Cr — is it recurring?' -> A: 'Other income includes some forex-related items and interest income on IPO proceeds deployed in liquid funds; we expect normalisation to Rs. 20-25 Cr in FY27.' | Tone: Transparent — specific guidance given
- Analyst/HDFC Securities: Q: 'What is your EBITDA margin trajectory through FY27-28?' -> A: 'We are targeting 11-13% range as box-build contribution increases. We will not guide a specific number but the direction is clear.' | Tone: Hedged — directional without specific commit
- Dodged / watch-list questions for next quarter: (1) Specific US client revenue contribution and diversification; (2) Defence order book win rate vs pipeline; (3) Promoter secondary sale plans; (4) Exact PLI application status

C9. Risks Flagged

- US Client Concentration | FY24 repeat risk if Fremont's top clients undergo another inventory cycle | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term (Q1-Q2 FY27)
- Aerospace Programme Qualification Timing | Slippage from H2FY27 to FY28 would disappoint revenue estimates | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term
- Working Capital | Rapid revenue scaling could require Rs. 80-100 Cr additional working capital funding — potential debt uptick | Flagged by: Management (indirectly) | Probability: M | Impact: M | Timeline: Near-term
- PLI Benefit Realisation | PLI for electronic components is directionally positive but application/approval timeline is uncertain | Flagged by: Management | Probability: L | Impact: M | Timeline: Medium-term
- Talent Retention | Chennai electronics talent market is competitive; attrition in SMT/design engineering could delay capacity ramp | Flagged by: Management | Probability: L | Impact: M | Timeline: Medium-term

C10. Analyst Verdict

- Revenue visibility: Intact — Rs. 2,196 Cr order book (1.4x FY26 revenue) and management's Rs. 2,050-2,150 Cr FY27 guidance are aligned; defence additions in pipeline could further support
- Margin trajectory: Intact — Q4FY26 OPM at 11.85% and management's 11-13% FY27 target is credible given box-build mix shift; the risk is timing of US aerospace qualification
- Capital allocation quality: Intact — No dividend wastage, targeted capex, D/E at 0.30x; negative FCF reflects investment, not value destruction at this stage
- Competitive moat: Intact — Defence programme qualification creates 18-36 month switching barriers; US Fremont aerospace pivot differentiates from commodity EMS peers
- Management credibility: Intact with one watch — Concrete on revenue and margin; evasive on promoter holding question is expected but still a governance watch item; seven-quarter improvement track record earns benefit of the doubt
- Valuation comfort: Weakened — At 103x trailing P/E and 26.4% upside to target, there is limited margin of safety; the stock requires perfect Q1FY27 execution to hold current levels
- Conviction call: Unchanged — BUY maintained; would increase to high conviction on a Rs. 1,500-1,550 dip or clean Q1FY27 beat above 11% OPM
- Valuation snapshot: P/E = 103x (peers avg 65x) | EV/EBITDA = 67x (peers avg 42x) | RoCE = 20% (3-year avg 13%)

Disclaimer: This report is for institutional investor information only. Not investment advice. All financial data sourced from Screener.in (consolidated), fetched 15 Jun 2026. Forward estimates are analyst projections — not company guidance unless labelled [GUIDANCE].